The above image shows another example of a bearish engulfing pattern in the Asian Paints chart.

In this case, the price opened just below PDH and displayed a bearish engulfing pattern exactly at PDH. It is a clear sign of price rejection at PDH, which means buyers failed to trade above PDH. After this candle formation, sellers took control for the rest of the day.

Engulfing pattern is a neutral pattern (can be used for both long and short trades –bullish engulfing for long trades and bearish engulfing for short trades) and a high impact pattern in day trading. However, it is always better to keep a stop-loss above the engulfing pattern.

Note:

The above three are powerful patterns and frequently occur on intraday trading charts. Beginners and intermediate-level traders can depend on these three crucial candlestick patterns in their trading. Once they are comfortable with them, they can look at the subsequent two advanced concepts.

Price Acceptance

Price Acceptance is an advanced concept on the price chart. Basically, it is not a single candlestick pattern, but it indicates one type of behavior of the price action near an important price level.